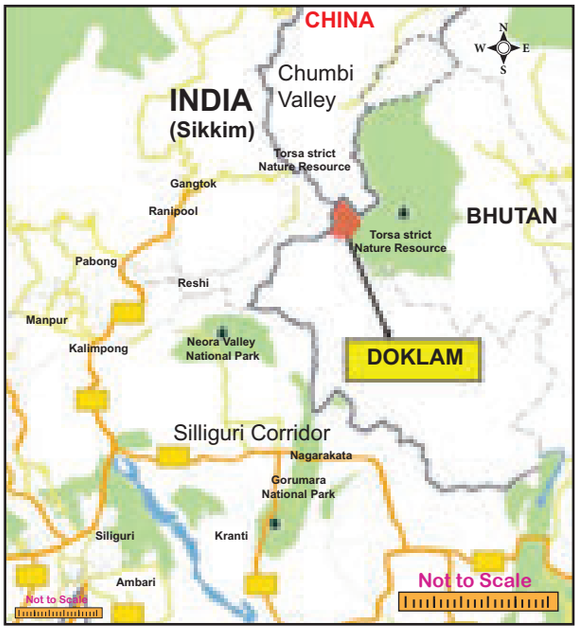
- Growing and unsustainable trade imbalance is in favor of India. Bhutan's trade deficit is set to worsen as India's Good and Services Tax (GST) makes its exports to Bhutan cheaper and imports from Bhutan more expensive
- Bhutan wants to increase its export power tariff to India as it is lesser than the cost of production.
- Bhutan has been taken as safe haven by insurgent elements like National Democratic Front for Bodoland (NDFB), United Liberation Front of Assam (ULFA) militants and Kamtapur Liberation Organization (KLO) that often pose threat to internal peace and security in the northeast region of India.

Doklam Issue

Doklam, or Donglang in China, is an area spread over less than a 100 sq km comprising a plateau and a valley at the trijunction between India, Bhutan and China. It is surrounded by the Chumbi Valley of Tibet, Bhutan's Ha Valley and Sikkim.

Despite several rounds of engagement between China and Bhutan, the dispute between the two over Doklam has not been resolved. It flared up in 2017 when the Chinese were trying to construct a road in the area, and Indian troops, in aid of their Bhutanese counterparts, objected to it resulting in the stand-off. Doklam is strategically located close to the Siliguri corridor, which connects mainland India with its north-eastern region. The corridor, also called Chicken's Neck, is a vulnerable point for India. In recent years however, China has been beefing up its military presence in the Chumbi Valley, where the Chinese are at a great disadvantage militarily. Both Indian and Bhutanese troops are on a higher ground around the Valley.



Issue with Hydropower projects

- Bhutan supplies power to India at very cheap rate.
- Bhutan alleged that India wanted greater role in management on joint venture Hydro projects in Bhutan.
- Cross Border Trade of Electricity (CBTE) issued by power ministry will establish the monopoly of India being Bhutan's sole power market. It restricts the type of hydro power investments that could be made in Bhutan.
- Hydro power plants are also attached with certain environmental concerns.

Steps taken to boost relations

- There is a frequent visit of state heads to boost the bilateral relations.
- India announced assistance for establishment of an E-Project covering all the 20 districts of Bhutan.
- The Prime Minister coined the idea of B2B as 'Bharat to Bhutan' for building effective and renewed bilateral relationship.
- Bhutan recently become the largest beneficiary of India's foreign aid.
- A 1,000 strong Indian Military Training

12th_Political Science_Unit_10.indd 235 1/30/2020 4:13:39 PM